Discretion: It is easier to achieve state capacity when there is low discretion. An immunization programme is a good example, where there is a population-scale outreach, but the work that has to be done by each civil servant is fixed and there is no discretion.

Stakes: It is harder to achieve state capacity when there is more at stake for private persons. Problems like the criminal justice system, the judiciary, the tax system and financial regulation are the hardest puzzles. Here, the decisions of state agents have enormous consequences for individuals, and private persons will devote considerable effort in trying to influence the outcome.

Secrecy: The bulk of the working of the Ministry of Rural Development takes place in the open. Policy documents and data sets come out into the public domain. This makes the feedback loops of analysis and criticism more effective. In contrast, the secrecy that surrounds a ministry, such as the Ministry of Defence, can serve as a cloak for poor performance.

Example 27: Monetary policy is easy, financial regulation is hard

By this reasoning, monetary policy is a relatively easy problem:

- *Low discretion:* Once inflation targeting is embedded in the law, there is a clear accountability mechanism. Individuals who make the decision have relatively limited discretion. Individuals who make flagrantly wrong decisions will be exposed in public and will suffer lifetime reputational damage.
- *Low number of transactions:* There is no citizen-facing part to monetary policy. It is only four to six decisions a year.
- *Low stakes:* Raising or lowering the policy rate has important consequences for the economy as a whole but it is of extreme importance, at a personal level, to nobody. Not much is at stake as far as private persons are concerned; there will be relatively little